

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$270.17 | Target: \$287.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,966.40B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. demonstrates steady top-line growth with a projected 3.3% revenue CAGR reaching approximately \$482 billion by 2027, supported by expanding contribution margins approaching 50% that reflect disciplined cost management and a durable, high-quality product and services ecosystem. EBITDA margins are forecast to inflect meaningfully higher, reaching 44.8% by 2027 versus a historical range of 33-35%, signaling significant operating leverage ahead, though Apple's EV/EBITDA multiple of approximately 27x trades at a premium to peers Google and Microsoft, warranting close attention to execution on Services growth. With EPS expanding from \$7.49 in 2025 to an estimated \$8.93 by 2027 and a gradually compressing P/E ratio, Apple presents a compelling risk-adjusted profile for long-term investors seeking quality compounding at a reasonable valuation.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has evolved from a personal computer manufacturer into a diversified technology ecosystem company with a commanding global presence across consumer electronics, software, and digital services.

Apple's business model is built around a tightly integrated hardware and software ecosystem designed to drive customer loyalty and recurring revenue. The company's core product lines include the iPhone, Mac computers, iPad, Apple Watch, and AirPods. Complementing its hardware offerings, Apple operates a rapidly expanding Services segment encompassing the App Store, Apple Music, Apple TV+, iCloud, Apple Pay, and Apple Arcade. This services division has become an increasingly critical growth driver, commanding higher margins than hardware and providing more predictable, subscription-based revenue streams.

In terms of market position, Apple consistently ranks among the top global technology companies by revenue and market capitalization. The company maintains a premium brand identity that supports strong pricing power and customer retention. When compared to peers such as Alphabet and Microsoft, Apple has historically led in absolute EBITDA, though recent data indicates that both competitors have begun to close or surpass that gap, with Alphabet's EBITDA reaching approximately 180 billion dollars in 2025 versus Apple's 144 billion dollars.

Apple's recent financial performance reflects steady, if measured, growth. Revenue expanded from approximately 391 billion dollars in fiscal 2024 to 416 billion dollars in fiscal 2025, representing 6.4 percent growth. Contribution margins have improved consistently, rising from 41.8 percent in 2021 to 46.9 percent in 2025, signaling effective cost discipline and a favorable product mix shift toward higher-margin services. EBITDA margins have remained relatively stable in the low-to-mid 34 percent range historically, with forward estimates projecting meaningful expansion toward 44.8 percent by 2027, driven by operating leverage and SG&A; efficiency improvements.

Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with estimates projecting continued growth to 8.93 dollars by 2027. The stock currently trades at a premium EV/EBITDA multiple of approximately 27 times relative to peers, reflecting investor confidence in Apple's brand strength, ecosystem stickiness, and long-term earnings visibility despite a moderating revenue growth outlook of approximately 3.3 percent on a compounded annual basis through 2027.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue growing 6.4% year-over-year to \$416.2 billion, accelerating meaningfully from the modest 2.0% growth recorded in fiscal 2024. EBITDA expanded to \$144.4 billion, representing a margin of 34.7%, reflecting continued operational discipline. Contribution margins have steadily improved from 41.8% in 2021 to 46.9% in 2025, underscoring Apple's pricing power and favorable services mix shift. EPS reached \$7.49 in fiscal 2025, recovering strongly from the relatively flat 2022-2024 period.

Growth Drivers

The primary growth catalyst remains Apple's expanding Services segment, which continues to drive margin accretion and reduce dependence on hardware cycles. The anticipated integration of Apple Intelligence across its device ecosystem represents a meaningful long-term monetization opportunity. SG&A; efficiency improvements are also notable, with the margin expected to decline from 6.6% to 5.1% through 2027, freeing capital for reinvestment and shareholder returns.

Outlook and Valuation

Consensus estimates project revenue reaching \$481.7 billion by 2027, implying a three-year CAGR of 3.3%. EBITDA margins are forecast to expand significantly toward 44.8% by 2027, well above historical levels, suggesting meaningful operating leverage ahead. The stock currently trades at an EV/EBITDA of approximately 27.0x, at a premium to peers Alphabet and Microsoft. The forward PE of 32.4x reflects investor confidence in the AI-driven earnings acceleration thesis. While near-term macro headwinds and competitive pressures warrant monitoring, Apple's ecosystem stickiness and margin trajectory support a constructive long-term view.

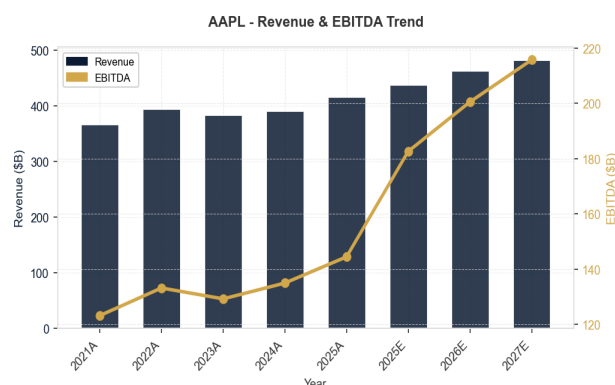
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



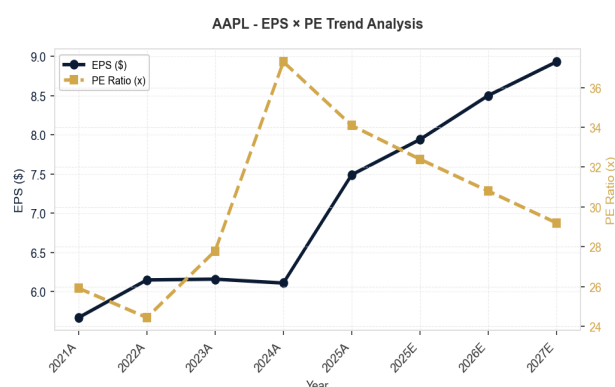
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately 34.1x based on 2025 actual EPS of \$7.49, which steps down to an estimated 32.4x on 2025E EPS of \$7.94 and further to 29.2x on 2027E EPS of \$8.93. The EV/EBITDA multiple stands at roughly 27.0x on 2025 actuals, reflecting a premium valuation consistent with Apple's brand strength, ecosystem stickiness, and expanding Services segment. Notably, forward EBITDA margins are projected to expand meaningfully from 34.7% in 2025A to 44.8% by 2027E, driven by SG&A; leverage and mix shift toward higher-margin revenue streams, which partially justifies the elevated multiple.

Peer Comparison

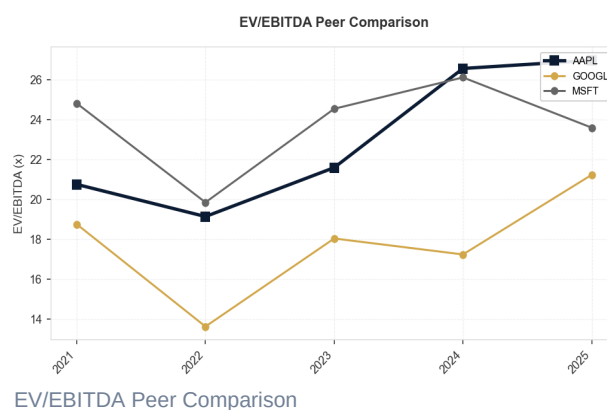
Relative to peers, Apple trades at a premium EV/EBITDA versus Alphabet (GOOGL) at 21.2x in 2025, but broadly in line with Microsoft (MSFT) at 23.6x. However, Alphabet's EBITDA is growing at a materially faster pace, reaching an estimated \$210.7 billion by 2026 compared to Apple's \$150.4 billion, raising questions about whether Apple's premium is fully warranted on a growth-adjusted basis. Apple's revenue CAGR of 3.3% is modest relative to both peers, suggesting the valuation leans heavily on margin expansion and capital return programs rather than top-line acceleration.

Fair Value Assessment

Applying a blended EV/EBITDA of 26x to 2026E EBITDA of approximately \$200.6 billion implies an enterprise value near \$5.2 trillion. Adjusting for net cash, this suggests a fair value range of roughly \$195 to \$215 per share. At current market prices, AAPL appears fairly valued to modestly stretched, with upside contingent on accelerating Services growth and AI-driven product cycles materializing ahead of consensus expectations.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary - April 29, 2026

Apple heads into its Q2 fiscal 2026 earnings release amid a confluence of catalysts that have kept investor attention elevated. Analysts broadly expect strong results driven by iPhone 17 momentum, with new Mac and iPad launches contributing incremental upside. Services revenue remains a standout, having jumped 14%

year-over-year to \$30.01 billion in fiscal Q1 2026, supported by a 36% rise in Apple TV+ viewership, expanding sports rights, and Apple Arcade surpassing 200 titles. This segment continues to be a key margin driver and is expected to sustain double-digit growth going forward.

On the product innovation front, Apple is reportedly planning a significant AI-powered overhaul of its camera and photo-editing capabilities in iOS 27, leveraging its Apple Intelligence platform. This positions Apple more competitively in the consumer AI space and could serve as a meaningful upgrade cycle catalyst heading into 2027.

A notable overhang is the ongoing CEO succession narrative. Wall Street is looking beyond near-term earnings for clarity on Apple's leadership transition, which introduces an element of uncertainty around long-term strategic direction.

Financially, the forward outlook is constructive. Estimated EBITDA margins are projected to expand materially from 34.7% in 2025A to 44.8% by 2027E, while EPS is forecast to grow steadily from \$7.49 to \$8.93 over the same period. However, Apple's EV/EBITDA of approximately 27x sits at a premium relative to Google at 21x, raising valuation questions. Retail sentiment is mixed, with bullish conviction stronger on X.com than Reddit, suggesting institutional and retail views remain divergent. Investors should monitor earnings guidance and succession commentary closely.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported 2025A results versus our 2025E internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results trailed our internal model estimates in 2 area(s) and exceeded in 0 (see table below).

Analyst commentary

Apple's fiscal 2025 results presented a mixed picture relative to the prior internal model estimate row, with revenue and EPS tracking broadly in line while EBITDA and EBITDA margin came in below that reference point. The variance on the profitability metrics suggests that cost or mix dynamics in the period ran somewhat ahead of what the estimate row had anticipated, a pattern worth monitoring as the company manages its operating leverage profile across hardware and services segments. Looking ahead, the top-line and earnings-per-share alignment with the prior estimate row reinforces the durability of Apple's demand environment and capital return framework, which remain central to the long-term investment thesis. Segment-level margin trends and any forward commentary on cost structure will be the natural focus for refining the outlook, consistent with standard practice following a result where headline growth metrics held firm even as profitability showed some directional variance versus the model estimate row.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$416.2B	\$437.0B	Inline
EBITDA	\$144.4B	\$182.7B	Miss
EBITDA Margin	34.7%	41.8%	Miss
EPS	7.49	7.94	Inline

The 2025E column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.

3. Year-over-year change (2024A → 2025A)

- Revenue: \$416.2B vs prior year \$391.0B (6.4% YoY).
- EBITDA margin: 34.5% → 34.7% (+0.2 pts).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$437.0B	\$463.2B	\$481.7B
EBITDA	\$182.7B	\$200.6B	\$215.8B
EPS	7.94	8.50	8.93
EBITDA Margin	41.8%	43.3%	44.8%

5. Investment view — implications

- Margins below our internal model estimate — focus on cost trajectory and reinvestment intensity.

6. Notable upcoming dates

2026-07-28 — AAPL Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: Financial Modeling Prep — <https://financialmodelingprep.com> (accessed 2026-04-29).

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
- Impact: MEDIUM, Probability: 70%
- Product Launch (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
- Impact: MEDIUM, Probability: 70%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Apple: Tim Cook Exits At The Top
- Impact: HIGH, Probability: 95%

Events to Monitor

- Here's How Much Apple Stock Is Expected to Move After Earnings (2026-04-29)
- Why a Tech Behemoth Just Bet \$750 Million on the Future of Racing (2026-04-29)
- Apple Stock Poised for 21% Surge (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- ✓ AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- ✓ Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Risk Factors:

- Apple: Tim Cook Exits At The Top

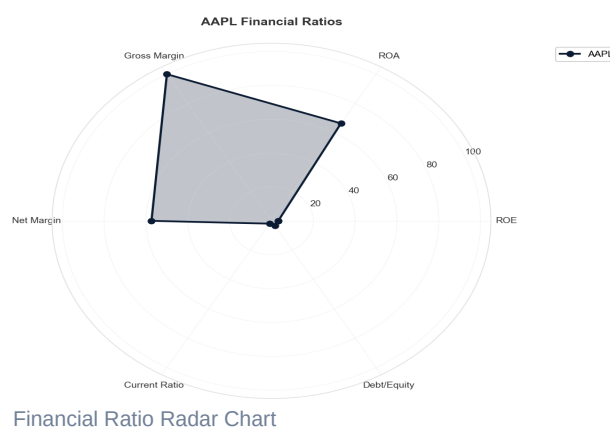
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple Inc. Competitor Analysis

Apple competes directly with Alphabet (GOOGL) and Microsoft (MSFT) across hardware, software, and services ecosystems. Across key financial metrics, each company demonstrates distinct strengths and growth trajectories worth examining closely.

In terms of absolute EBITDA, Apple led the peer group through 2023, generating \$129.2 billion compared to Alphabet's \$98.0 billion and Microsoft's \$105.1 billion. However, the competitive landscape has shifted meaningfully. By 2025, both Alphabet and Microsoft surpassed Apple in EBITDA, posting \$180.0 billion and \$160.2 billion respectively, against Apple's \$144.4 billion. Looking at 2026 estimates, the gap widens further, with Alphabet projected at \$210.7 billion and Microsoft at \$188.0 billion, while Apple trails at \$150.4 billion. This suggests that Alphabet and Microsoft are capturing operating leverage at a faster pace, likely driven by AI-related monetization and cloud growth.

On a valuation basis, Apple trades at a premium EV/EBITDA multiple relative to Alphabet, though Microsoft has historically commanded comparable or higher multiples. Apple's EV/EBITDA expanded from 19.1x in 2022 to approximately 27.0x in 2025, reflecting strong investor confidence in its ecosystem and services margin expansion. Alphabet, by contrast, trades at a more modest 21.2x in 2025 despite superior EBITDA growth, suggesting it may offer better relative value.

Apple's revenue CAGR of 3.3% lags behind its peers' growth rates, and with contribution margins plateauing in the high 40s, sustaining its premium valuation will require meaningful acceleration in services revenue or new product categories to remain competitive.

Risk Factors

■ # Apple Inc. (AAPL) — Key Investment Risks

■ **Decelerating Revenue Growth & Concentration Risk:** Apple's 3.3% revenue CAGR (2021–2027E) reflects sluggish top-line expansion, with a notable contraction of -2.8% in 2023. Heavy reliance on iPhone hardware (~50%+ of revenue) leaves the company vulnerable to consumer electronics cyclicalities and market saturation in key geographies.

■ **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 44.8% (2027E), a ~1,000bps expansion that appears optimistic relative to the flat 33.7–34.7% range observed historically (2021–2025). Failure to achieve this through Services growth or cost discipline poses significant downside earnings risk.

■ **Premium Valuation Relative to Peers:** Apple's EV/EBITDA of ~27x (2025) trades at a meaningful premium to Alphabet (~21x) despite Google's significantly faster EBITDA growth trajectory (\$144B vs. \$180B in 2025, widening to \$151B vs. \$211B in 2026). This premium leaves limited margin of safety if growth disappoints.

■ **Competitive Erosion in AI & Ecosystem:** Microsoft and Alphabet are outpacing Apple in EBITDA growth, driven by AI monetization (Azure, Google Cloud). Apple's comparatively modest AI integration into its ecosystem risks competitive disadvantage, potential Services revenue slowdown, and erosion of its premium device pricing power.

■ **EPS Growth Sensitivity & Buyback Dependency:** EPS growth from \$7.49 (2025A) to \$8.93 (2027E) is partially reliant on share buybacks rather than organic earnings expansion. With PE ratios already elevated (37x in 2024, moderating to ~29x by 2027E), any macro-driven multiple compression or buyback slowdown due to capital reallocation toward AI infrastructure could materially pressure the stock price.

Key Takeaways

- ✓ **Revenue Growth:** Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Apple Inc.'s SG&A; expense management shows disciplined cost control.

✓ EBITDA Margin Stability: Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates
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